(c) Laying the foundation for strong and vibrant Panchayati Raj Institutions in the country
(d) Guarantee of right to life, liberty and security of person, equality before law and equal protection without discrimination.

**Ans. (c) :** 73rd Amendment Act added Eleventh Schedule to the Constitution and Part IX, which provides for the Panchayati Raj System.
The Constitution (73rd Amendment) Act, 1992 has added a new part IX consisting of 16 Articles and the Eleventh Schedule to the Constitution. The 73th Amendment envisages the Gram Sabha as the foundation of the Panchayat Raj System to perform functions and powers entrusted to it by the State Legislatures.

**56. The Speaker can ask member of the House to stop speaking and let another member speak. This phenomenon is known as:**
(a) Decorum (b) Crossing the floor
(c) Interpolation (d) Yielding the floor

**Ans. (d) :** Decorum - Parliamentary etiquette
Crossing the floor - Changing the party Interpolation - Seeking clarification through ruling
Yielding the floor - Respecting speaker's order

**57. Consider the following statements about the Attorney General of India:**
**1. He is appointed by the President of India**
**2. He must have the same qualifications as are required for a Judge of the Supreme Court.**
**3. He must be a member of either House of Parliament.**
**4. He can be removed by impeachment by Parliament.**
**Which of these statements are correct?**
(a) 1 and 2 (b) 1 and 3
(c) 2, 3 and 4 (d) 3 and 4

**Ans. (a) :** According to Article 76 of the Constitution, The President shall appoint a person who is qualified to be appointed a Judge of the Supreme Court to be Attorney-General for India. Hence statement 3 is not correct. Attorney-General hold office during the pleasure of the President. Hence statement 4 is also not correct.

**58. Consider the following functionaries:**
**1. Cabinet Secretary**
**2. Chief Election Commissioner**
**3. Union Cabinet Ministers**
**4. Chief Justice of India**
**Their correct sequence, in the Order of Precedence is:**
(a) 3, 4, 2, 1 (b) 4, 3, 1, 2
(c) 4, 3, 2, 1 (d) 3, 4, 1, 2

**Ans. (c) :** Chief Justice of India, Union Cabinet Minister, Chief Election Commissioner and Cabinet Secretary is the correct order of precedence.

**59. The primary function of the Finance Commission in India is to:**
(a) Distribute revenue between the Centre and the States
(b) Prepare the Annual Budget
(c) Advise the President on financial matters
(d) Allocate funds to various ministries of the Union and State Governments

**Ans. (a) :** Distribute revenue between the Centre and the States.
The Finance Commission of India has been set up under Article 280 of the Constitution. The first Finance Commission was set up in 1951 and there have been fifteen (2017) so far. Its core responsibility is to evaluate the state of finances of the Union and State Governments, recommend the sharing of taxes between them, lay down the principles determining the distribution of these taxes among States.

**60. The state which has the largest number of seats reserved for the Scheduled Tribes in the Lok Sabha is:**
(a) Bihar (b) Gujarat
(c) Uttar Pradesh (d) Madhya Pradesh

**Ans. (d) :** In the given options. Madhya Pradesh, with 6 seats, has the largest number of seats reserved for the Scheduled Tribes (STs) in the Lok Sabha, Bihar and Uttar Pradesh have no seats reserved for STs and Gujarat has 4 seats reserved for STs.

## ECONOMY

**61. Consider the following statements:**
**The Indian rupee is fully convertible**
**1. in respect of Current Account of Balance of Payment**
**2. in respect of Capital Account of Balance of Payment**
**3. into gold**
**Which of these statements is/are correct?**
(a) 1 alone (b) 3 alone
(c) 1 and 2 (d) 1, 2 and 3

**Ans. (a) :** On 19 August 1994, India attained the full convertibility of the rupee on the current account. Indian rupee payment balance is convertible into current account and gold. The Tarapore Committee was formed for the full convertibility of Rupees.

**62. Resurgent India Bonds were issued in US dollar, Pound, Sterling.**
(a) Japanese Yen (b) Deutsche Mark
(c) Euro (d) French Franc

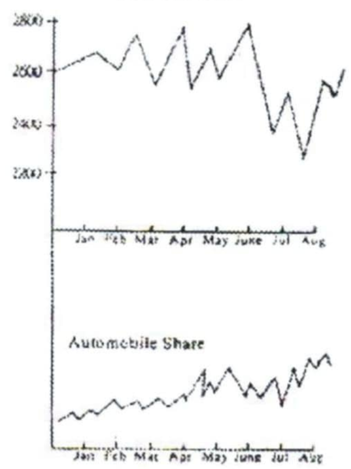


**Ans. (b) :** The Resurgent India Bonds (RIBs) are bank instruments issued by SBI representing foreign currency denominated deposits in the form of promissory notes offered to Non-Resident Indians and Overseas Corporate Bodies. Bonds being denominated in foreign currency i.e., in US dollar, Pound Sterling and Deutsche Mark. Bonds are free from forex risk.

**63. The growth rate of per capita income at current prices is higher than that of per capita income at constant prices, because the later takes into account the rate of:**
(a) Growth of population
(b) Increase in price level
(c) Growth of money supply
(d) Increase in the wage rate

**Ans. (b) :** The growth rate of per capita income at current values is relatively higher than the growth rate of per capita income at constant values, because the growth rate of per capita income at constant values is taken into account for the growth rate of the price level.

**64. The upper part of the given graph is a hypothetical movement in the BSE Sensex over a few months and the lower part is the fluctuation in the average value of automobile shares in the same period (actual values not given).**




**Which one of the following inferences can be drawn from the graphs?**
(a) The automobile-share market has been as unstable as BSE Sensex in that period
(b) There has been a major political change in June/July
(c) Automobile shares have shown a steady improvement in price, unaffected by large fluctuations in BSE Sensex.
(d) None of the above

**Ans. (d) :** According to above graph analyses that none of the above option given correct.
BSE, the first ever stock exchange in Asia established in 1875 and the first in the country to be granted permanent recognition under the Securities Contract Regulation act, 1956, has had an interesting rise to prominence over the past 143 years.

**65. In an open economy, the national income (Y) of the economy is:**
**(C, I, G, X, M stand for Consumption, Investment, Govt. Expenditure, total exports and total imports respectively)**
(a) $Y = C + I + G + X$
(b) $Y = C + I + G - X + M$
(c) $Y = C + I + G + (X-M)$
(d) $Y = C + I - G + X - M$

**Ans. (b) :** National income = total consumption Expenditure +Total Invest Total Govt. Expenditure – (Export – Import
$Y = C + I - G + (X - M)$
$Y = C + 1 + G - X + M$
So that option (b) is correct answer.

**66. A rise in 'SENSEX' means**
(a) A rise in prices of shares of all companies registered with Bombay Stock Exchange
(b) A rise in prices of all companies registered with National Stock exchange
(c) An overall rise in prices of shares of group of companies registered with Bombay Stock Exchange
(d) A rise in prices of shares of all companies belonging to a group of companies registered with Bombay Stock Exchange

**Ans. (c) :** The Sensory Index of the Bombay Stock Exchange (BSE) is called the SENSEX for short. Rise in the sensitive index refers to the overall rise in the value of shares of companies listed in the BSE.

**67. The new Gross Domestic Product (GDP) series released by the Central Statistical Organisation (CSO) in February, 1999 is with reference to base price of:**
(a) 1991-92 (b) 1992-93
(c) 1993-94 (d) 1994-95

**Ans. (c) :** The new GDP series released by the (CSO) in February, 1999 is with reference to base price of 1993-94. At present, GDP is calculated keeping 2011-12 as the base year.